the open. People can sell any time, and they do, and no one is guaranteed any return. In fact, many longtime advocates of the space warn people not to invest more money than they're willing to lose. Any good Ponzi operator would never say as much.

How to Spot a Ponzi Scheme Disguised as a Cryptoasset

The Ponzi scheme is a specific and easily identifiably structure that isn't applicable to Bitcoin but could be to some phony cryptoassets. While a truly innovative cryptoasset and its associated architecture requires a heroic coding effort from talented developers, because the software is open source, it can be downloaded and duplicated. From there, a new cryptoasset can be issued wrapped in slick marketing. If the innovative investor doesn't do proper due diligence on the underlying code or read other trusted sources who have, then it's possible to fall victim to a Ponzi scheme.

A new cryptoasset called OneCoin was met with much interest due to its promise of providing a guaranteed return to investors. When the words "guaranteed return" appear, the innovative investor should always see an instant red flag. All investors should always be deterred by an investment that purports a guarantee (although annuities or other insurance-backed investments may qualify).

Millions of dollars poured into OneCoin, whose technology ran counter to the values of the cryptoasset community: its software was not open source (perhaps out of fear that